

tax, to your municipality and/or county. This figure is based on the value of your home and the land on which it is built.

- **Sales tax.** Most states and many cities and counties impose tax on the items you buy (sofas, potato chips, sneakers) and the services you use (dry cleaning, haircuts, lawn care).
- **Capital gains tax.** Your profit or gain when you sell an investment (even something as small as one share of stock) is subject to something called capital gains tax. Money you make from financial assets (like stock mutual funds) that you've had for a year or less is taxed at your regular income tax rate. (I will show you how to figure out your tax rate in the next section.) But gains from investments that you've held for more than one year are considered **long-term capital gains**, and are generally taxed at a lower rate. And if you are in the 10% or 15% tax bracket for ordinary income, you don't have to pay any taxes on long-term capital gains.

↓ FIGURING OUT YOUR TAX RATE

When people talk about their tax bracket or tax rate, they're usually referring to their federal income tax bracket or rate. Federal income taxes probably make up the largest share of your total tax bill. Your federal income tax rate depends on how much income—including wages, bonuses, tips, and earnings from investments—you received over the course of the year. (It also depends on the tax breaks you're eligible for, but I'll tell you more about those later on.)

The federal government has a “graduated” tax system that requires people with higher incomes to pay a higher percentage of their incomes in taxes. A range of income levels is grouped together in what is called a **tax bracket**. A **tax rate** is assigned to each tax bracket. To figure out your tax bracket, you first need to calculate your **taxable income**, which you can do by following the step-by-step instructions on your tax return. For example, if you were single and your taxable income was between \$0 and \$8,350 in 2009, you would be in the 10% tax bracket. The dollar amounts that fall within each bracket are adjusted for inflation every year. Every few years,